



ZIMBABWE SCHOOL EXAMINATIONS COUNCIL
General Certificate of Education Ordinary Level

ECONOMICS

PAPER 2 Data Response

4050/2

1 hour 15 minutes

SPECIMEN PAPER

Additional materials:
Answer paper

INSTRUCTIONS TO CANDIDATES

Write your name, centre number and candidate number in the spaces provided on the answer booklet.

Answer **both** questions. If you use more than one booklet, fasten the booklets together.

INFORMATION FOR CANDIDATES

Calculators may be used.

The number of marks is given in brackets [] at the end of each question or part question.

This specimen paper consists of 3 printed pages.

Copyright: Zimbabwe School Examinations Council, Specimen Paper.

RISING INPUTS COSTS STRAIN ARISTON

- 1 Ariston Holding highlights that its operations have been affected by high costs of critical inputs such as electricity, fertilizers and crop chemicals, leading to low production supply of tea leaves. Productive efficiency measures such as solar power reduced some of the pressure on profit, as was said by chairman Alexander Jongwe. Ariston's sales volume increased marginally from 1500 tonnes in year 2023 to 1515 tonnes in year 2024. This was attributed to improved tea leaves volumes and a cut in selling price.

Financial Gazette 23 April 2025

- (a) Define the following terms:
- (i) *supply*, [2]
 - (ii) *productive efficiency*. [2]
- (b) (i) Explain the cause of an increase in the sales revenue of tea leaves? [2]
- (ii) Calculate the percentage change in sales volume of tea leaves. [2]
- (c) (i) Identify any **two** variable costs mentioned in the extract. [2]
- (ii) Suggest **two** other factors other than high costs of critical inputs which affect supply of tea leaves. [2]
- (iii) With the aid of a diagram, show how the supply curve is affected by rising cost of inputs. [4]
- (d) Discuss any **two** benefits of economic development. [4]

MAKOKOBA A BUSY MARKET

- 2** Makokoba is a market characterised by many sellers and many buyers. Their annual sales volume contribute significantly to the gross domestic product. The chairperson of the market, Mr Khumalo said that the vendor's problems were rising due to power outages, security and maintenance charges. Vendors were however happy with rising profits due to increased demand for fruits and vegetables, making them able to fully cover their average costs, specifically in the short run. Most buyers in Bulawayo are now able to afford vegetables because of the cheap price.

- (a) (i) Define the term *market*. [2]
- (ii) Identify the market structure mentioned in the extract. Give reasons for your answer. [2]
- (iii) Outline **two** types of costs. [2]
- (b) (i) Explain the term *Gross Domestic Product (G.D.P)*? [2]
- (ii) Identify any **two** determinants of demand given in the extract. [2]
- (c) (i) Outline any **two** problems faced in the local vegetable market in Zimbabwe. [2]
- (ii) Using a diagram, illustrate how price affects demand for vegetables. [4]
- (d) Discuss the determinants of demand for vegetables by the local people of any Zimbabwe community. [4]